

Procurement Policy

Owner: Finance | Version: 3.0-rag | Effective date: 2026-04-20

Document type	Synthetic policy manual
Use case	RAG training, retrieval benchmarking, QA evaluation
Chunking guidance	Use one chunk per section and preserve section IDs

1. Purpose and Scope

Procurement Policy describes the formal policy requirements and operating procedures used by Northstar Analytics Ltd.. It is written as a synthetic but realistic document for training retrieval, summarization, and question-answering systems.

This document applies to all employees, interns, temporary workers, and approved contractors unless a section explicitly states otherwise.

Managers are responsible for enforcing this policy consistently and for escalating unusual cases to the document owner.

2. Roles and Responsibilities

Employees must read, understand, and follow the policy requirements relevant to their role.

Managers must document exceptions in writing and retain approvals in the designated system of record.

The document owner reviews this policy at least annually and whenever business, legal, or technical requirements materially change.

3. Vendor Selection

The section on vendor selection defines the standard rule, the approval path, and the records that must be retained.

Requests related to vendor selection should be submitted through the official workflow rather than handled informally through chat or email alone.

When a manager grants an exception for vendor selection, the exception must include the reason, the duration, and any compensating controls.

Records related to vendor selection must be stored in the designated repository with a clear owner and retention period.

Metrics related to vendor selection should be reviewed periodically to identify recurring issues and opportunities for improvement.

4. Three-Quote Rule

The section on three-quote rule defines the standard rule, the approval path, and the records that must be retained.

Requests related to three-quote rule should be submitted through the official workflow rather than handled informally through chat or email alone.

When a manager grants an exception for three-quote rule, the exception must include the reason, the duration, and any compensating controls.

Purchases above USD 5,000 normally require at least three competitive quotes unless a documented sole-source exception is approved.

Procurement must retain quote comparisons and award rationale.

5. Contract Review

The section on contract review defines the standard rule, the approval path, and the records that must be retained.

Requests related to contract review should be submitted through the official workflow rather than handled informally through chat or email alone.

When a manager grants an exception for contract review, the exception must include the reason, the duration, and any compensating controls.

All vendor contracts involving personal data, security access, or auto-renewal terms must be reviewed by Legal or an authorized reviewer before signature.

Employees may not sign vendor terms on behalf of the company unless they hold delegated authority.

6. Conflict Checks

The section on conflict checks defines the standard rule, the approval path, and the records that must be retained.

Requests related to conflict checks should be submitted through the official workflow rather than handled informally through chat or email alone.

When a manager grants an exception for conflict checks, the exception must include the reason, the duration, and any compensating controls.

Records related to conflict checks must be stored in the designated repository with a clear owner and retention period.

Metrics related to conflict checks should be reviewed periodically to identify recurring issues and opportunities for improvement.

7. Purchase Orders

The section on purchase orders defines the standard rule, the approval path, and the records that must be retained.

Requests related to purchase orders should be submitted through the official workflow rather than handled informally through chat or email alone.

When a manager grants an exception for purchase orders, the exception must include the reason, the duration, and any compensating controls.

Records related to purchase orders must be stored in the designated repository with a clear owner and retention period.

Metrics related to purchase orders should be reviewed periodically to identify recurring issues and opportunities for improvement.

8. Exceptions and Escalations

Exceptions must be rare, time-bound, and approved by the designated authority named in the relevant section.

All exceptions must be logged with the approver, rationale, expiration date, and any required follow-up actions.

9. Document Control

Document owner: Procurement Policy owner

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Review frequency: annual or upon material change